

## MACROECONOMICS

# Global Liquidity Cycles and the Reflexivity of Central Bank Balance Sheets

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## ABSTRACT

*This paper examines how expansion and contraction in the combined balance sheets of the Federal Reserve, ECB, Bank of Japan and People's Bank of China propagate through cross-border funding markets and feed back into risk-asset pricing with a measurable lag. It argues that aggregate liquidity conditions — not policy rates in isolation — are the more reliable coincident indicator of risk appetite across the cycle, and proposes a framework for tracking net liquidity alongside funding-market stress indicators.*

## KEY FINDINGS

- 01 Balance-sheet growth rates across the Fed, ECB, BoJ and PBoC lead global risk-asset drawdowns by roughly two to four quarters.
- 02 Net liquidity (balance sheet less reverse repo and Treasury General Account balances) explains variation in cross-asset volatility that policy-rate models alone miss.
- 03 Funding-market stress in repo and cross-currency basis markets tends to widen before headline liquidity metrics turn, offering an earlier signal.
- 04 A reflexive feedback loop is evident: asset-price declines tighten collateral conditions, which tighten liquidity further, amplifying drawdowns beyond what balance-sheet arithmetic alone implies.
- 05 Liquidity regime, alongside growth and inflation regime, warrants an explicit place in top-down asset allocation frameworks.

## DISCUSSION

The analysis combines central bank balance sheet data with funding-market spreads across four jurisdictions to construct a composite net liquidity index. The index is tested against realized volatility and drawdown episodes in global equity and credit markets since 2015.

Results suggest that periods of net liquidity contraction are associated with materially higher tail risk in risk assets, even controlling for the level and direction of policy rates. The paper closes with a discussion of how allocators might incorporate a liquidity overlay into existing macro regime frameworks without over-fitting to a short post-2015 sample.

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